GENERAL CONDITIONS OF CONTRACT FOR PACKAGES

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1. DEFINITIONS & INTERPRETATION

1.1 Definitions:

In the Contract/Work Order, the following words and expressions, when used starting with capital letters shall have the following meanings:

Tata Projects Limited also referred to as TPL has its registered and corporate office at 1-7-80 to 87, Prenderghast Road, Secunderabad – 500003, and includes its successors and assigns, its affiliates and officers, directors, agents and representatives.

Owner shall mean TPL's customer in whose premises the Facility is being set up and shall include its successors and assigns, its affiliates and its respective employees, officers, directors, agents and representatives.

Supplier shall mean the successful Bidder, an individual or firm or company whether incorporated or not on whom the Purchase Order is placed by TPL and shall include their legal successors and assigns, its affiliates and their respective employees, officers, directors, agents and representatives.

As Built Documents has the meaning given in clause 13.4

Bidder shall mean the short listed individual or firm or company whether incorporated or not, who quotes against a tender.

Contract shall mean the agreement entered into between TPL and Supplier or Purchase Order issued by TPL and accepted by the Supplier, including all attachments, schedules and annexure thereto and all documents incorporated by reference therein together with any subsequent modifications thereof in writing.

Effective date of Contract shall mean the calendar date on which TPL has issued to the Supplier the 'Letter of Intent' (L.O.I) or Purchase Order (P.O) whichever is earlier, or as otherwise agreed to between TPL and Supplier.

Facility shall mean the Plant/Plants which are being set up in the premises of Owner.

Final Acceptance shall mean the acceptance by TPL/Owner of final performance of the Supplies pursuant to the conditions set out in the clause no 34.

Good Industry Practice shall mean those reasonable and prudent applicable engineering codes and standards, practices, methods, equipment, specifications and standard of performance and safety generally used by professional organization performing design, procurement, engineering, manufacturing, construction as the case maybe, in the international design, procurement, engineering and manufacturing and construction industries in relation to equipment/packages of the same or substantially similar scale, nature and complexity.

Intellectual Property Rights shall mean any and all rights and interests in any copyright, patent, design, database right, trade mark, trade name, Confidential Information, know-how, right to sue for passing off or unfair competition or any other legally protected registered or unregistered intellectual property right (whether in written form, or generated by or maintained on a computer or similar system or otherwise)

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Mechanical Completion shall mean that all construction and pre-commissioning activities for the Plant are complete and the Plant is ready for commencement of commissioning and start up.

Party/Parties shall mean TPL and/or the Supplier, as the context requires.

Performance Guarantees shall mean the guarantees in respect of the performance of the Supplies, as set out in the technical specifications

Performance Guarantee Tests (PG Tests) shall mean the tests to be carried out in relation to the Performance Guarantees in accordance with clause no 33.

Provisional Acceptance shall mean the acceptance by TPL/Owner after successful Reliability Run/Sustained Load Test and before Performance Guarantee Test in accordance with clause no. 32 (Provisional Acceptance and Taking Over)

Reliability Run/Sustained Load Test shall mean the tests to be carried out in accordance with clause no. 31 (Reliability Run/Sustained Load test)

Site shall mean the construction site of the Project.

Sub-vendor/Sub-contractor shall mean the individual or firm or company (other than the Supplier or TPL) to whom the Supplier has sub-let any part of the Supplies or with whom the Supplier has entered into any sub-contract for the Supply of equipment, material or services in connection with the Supplies, and shall include their legal successors and assigns.

Supply/Supplies shall mean all the supplies, to be executed by the Supplier as per the Purchase Order.

TPL Representative shall mean Resident Construction Manager (RCM)/Engineer-in-charge who directs all the operations of the Contractor and other Contractors involved in the construction of the Facility as per clause 7

Work/Works shall mean all the services and works to be performed at Site as defined in the Contract

1.2 **Interpretation:**

In this document, unless the context otherwise requires,

a) references in the singular number shall include references in the plural number and vice versa.

b) words indicating one gender include all genders.

c) a reference to a particular clause, sub-clause or Schedule shall, except where the context otherwise requires, be a reference to that clause, or sub-clause or Schedule.

d) the headings are inserted for convenience and are to be ignored for the purposes of interpretation or the particular part of the contract construction.

e) the words "include" and "including" are to be construed without limitation.

f) whenever provision is made for the giving of notice, approval or consent by any Person, unless otherwise specified, such notice, approval or consent shall be in writing and the words "notify"

and "approve" shall be construed accordingly.

g) the invalidity or unenforceability of any portion or provision of the Contract shall not affect the validity or enforceability of any other portion or provision. Any invalid or unenforceable portion or provision shall be deemed void from the Contract. The Parties agree that in such circumstances to interpret and to negotiate an equitable amendment to the provisions of the Contract to give effect to the underlying purposes of the Contract.

h) the words Contract and Purchase Order can be synonymously used wherever the context so requires.

i) The words Supplies and Package can be synonymously used whenever the context so requires.

2. REFERENCE FOR DOCUMENTATION

Purchase Order number must appear in all correspondences, drawings, invoices, despatch notes, packing lists and on any other document(s) related to the Purchase Order.

3. CONFIRMATION OF ORDER

3.1 The Supplier shall within 10 (ten) days from the date of the receipt of the Purchase Order confirm their acknowledgement/unconditional acceptance in its entirety without any deviations or reservations by returning two copies of the Purchase Order duly signed by the Supplier's power of attorney holder having the authority to sign and accept such Purchase Order on each page as a token of their acceptance to the designated persons mentioned in the Purchase Order. Signature on every page shall be with Supplier's company's seal.

3.2 In the event, the Supplier fails to submit the Order acknowledgment/acceptance within the above specified period and/or fails to deposit the Performance Bank Guarantee within the time period specified in the Purchase Order, TPL reserves the right to cancel the Purchase Order without prejudice to other rights and remedies which TPL may be entitled to, as per terms and conditions of the Purchase Order.

3.3 With Supplier's acceptance of the Purchase Order, Supplier is deemed to have waived all general sales conditions enclosed with their offer and same shall be deemed to have been withdrawn unconditionally.

3.4 If any of the provisions of Supplier's proposal and subsequent correspondence is in conflict with the terms and conditions of the Purchase Order, the latter shall govern.

4. CONTRACTUAL DOCUMENTS

4.1 The Purchase Order is the final agreement between TPL and Supplier on the scope of Supply, technical specifications, commercial terms and conditions and is a complete and exclusive statement of the terms of their mutual agreement.

4.2 In the event of contradiction between various documents, the order of precedence shall be as under:

a) Purchase Order
b) Special Conditions of Contract
c) General Conditions of Contract
d) Technical Specifications and Drawings
e) Correspondence

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5. SCOPE OF CONTRACT

The scope includes but not limited to:

a) Design, engineering, manufacturing, inspection, testing, painting and supply as per Contract/Purchase order and technical specifications including packing & forwarding of Supplies/Package. Completeness of the Package in its entirety shall be the responsibility of the Supplier. Any equipment and accessories which may not be specifically mentioned in the technical specifications or drawings but are of Good Engineering Practice or necessary for the satisfactory functioning of the Package shall be provided by the Supplier.

b) Transportation to site when specified in the Purchase Order

c) Supervision of erection, start up and commissioning, Reliability Run/Sustained Load Test and Performance Guarantee Test run, as specified in technical specifications or Special Conditions of Contract (SCC), in case erection is not included in Supplier's scope.

Or

Erection, start up and commissioning, Reliability Run/Sustained Load Test, Performance Guarantee Test runs in case erection is included in Supplier's scope (Lump sum turnkey contract-LSTK)

d) Supply of commissioning, operation (mandatory) and capital spares as defined in the Contract

e) Training of Owner/TPL personnel.

f) Guarantees/ Warranties for the Supplies

6. SPECIAL TOOLS, SPARES AND CONSUMABLES

6.1 Special Tools and Tackles:

a) The Supplier shall supply within the Contract price, special tools and tackles for operation and maintenance of the Supplies.

b) The Supplier shall provide ordering specifications and names/addresses of Sub-vendors for special tools and tackles to enable TPL/Owner to procure the same in future.

6.2 Commissioning Spares:

a) In case of LSTK Contract, the Supplier shall include commissioning spares as per Supplier's experience required during erection, start up and commissioning. The Supplier shall be responsible for ensuring adequate quantities of such items at Site so that commissioning schedule is not affected.

b) In case of exigency during start up and commissioning, the Supplier shall be allowed to draw necessary spares from the inventory of operation spares with the approval of TPL/ Owner and shall replenish the same at the earliest within the mutually agreed time between TPL and the Supplier.

c) In case of supply contract, the Supplier shall supply commissioning spares as specified in the Purchase Order

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6.3 **Operation Spares:**

a) The Supplier shall supply operation spares as specified in the Contract. The Supplier shall furnish the list of recommended spares with unit price for two or three year of trouble free operation as specified in Special Conditions of Contract. The list of spares shall have the following details:

(i) description of spare
(ii) recommended quantity against actual no built in for each item
(iii) item number & assembly drawing number
(iv) catalogue reference
(v) drawings and specifications

b) The Supplier shall provide ordering information for the bought out spares to enable TPL/ Owner to procure the same in future.

c) The Supplier shall undertake to supply operating spares during the life of the Plant on request from TPL/Owner. In case, during the life of the Plant, if the spares are not in the Supplier's production program due to obsolescence, the Supplier shall notify well in advance (not less than 6 months), enabling TPL/Owner to order adequate quantities of such spares.

6.4 **Capital/Insurance Spares:**

The Supplier shall supply capital/insurance Spares as specified in the Purchase Order.

6.5 **Consumables**

a) The Supplier shall furnish the list of consumable such as oil, lubricants and chemicals along with estimated annual requirement and ordering specifications.

b) The Supplier shall provide all consumables such as oils, lubricants and chemicals till taking over of Supplies and any topping up required at the time of taking over.

7. TPL REPRESENTATIVE

7.1 TPL shall appoint TPL's Representative to act on behalf of TPL under the Contract. TPL shall give notice to the Supplier of the name, address, duties and authority of TPL's Representative.

7.2 TPL's Representative shall carry out the duties assigned, and shall exercise the authority delegated by TPL. Unless and until TPL notifies the Supplier otherwise, TPL's Representative shall be deemed to have the full authority of TPL under the Contract, except in respect of exercising TPL's rights pursuant to clauses 7.3 and 41.

7.3 If TPL wishes to replace any person appointed as TPL's Representative, TPL shall give the Supplier notice of the replacement's name, address, duties and authority, and of the date of appointment.

7.4 TPL or the TPL's Representative may from time to time assign duties and delegate authority to other TPL's personnel, and may also revoke such assignment or delegation. The assignment or revocation shall not take effect until a copy of it has been received by the Supplier. TPL's personnel shall be suitably qualified who are competent to carry out these duties and exercise the authority.

7.5 Each of TPL's personnel to whom duties have been assigned or authority has been delegated shall

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only be authorised to issue instructions to the Supplier to the extent defined in the delegation. Any approval, check, certificate, consent, examination, inspection, instruction, notice, proposal, request, test or similar act by a delegated person, in accordance with the delegation, shall have the same effect as though the act had been an act of TPL. However;

a) it shall not relieve the Supplier from any responsibility it has under the Contract, including responsibility for errors, omissions, discrepancies and non-compliance;

b) any failure to disapprove any Works or Supplies shall not constitute approval, and shall therefore not prejudice the right of TPL to reject the Works or Supplies; and

c) if the Supplier questions any determination or instruction of a delegated person, the Supplier may refer the matter to TPL, who shall promptly confirm, reverse or vary the determination or instruction.

7.6 TPL may issue to the Supplier, instructions which may be necessary for the Supplier to perform its obligations under the Contract in the event of Supplier's breach or anticipated breach of Contract, non-compliance and regarding issues related to safety, security and statutory obligations. Each instruction shall be given in writing and shall state the obligations to which it relates and the clause (or other term of the Contract) in which the obligations are specified. If any instruction constitutes a variation, clause no 10 shall apply.

8. SUPPLIER'S PERSONNEL FOR SUPERVISION OF ERECTION & COMMISIONING

In case the erection of the package is not included in Supplier's scope, the Supplier shall:

a) Upon one week's advance notice depute the necessary personnel to Site for supervision of erection, start-up and commissioning and training of TPL's / Owner's personnel as specified in the Purchase Order.

b) Ensure that all the safety norms stipulated in TPL's document *"Environment, Health and Safety requirements at Site"*, an integral part of Contract are strictly followed by the Supplier's personnel during performance of their duties at site.

9. ERECTION WORKS AT SITE

General Conditions of Contract for Services shall be applicable and shall be part of the Contract in case erection and commissioning of package is included in Supplier's scope.

10. MODIFICATION , VARIATION & ORDER AMENDMENTS

10.1 The Purchase Order may in writing be amended or modified including for changes in contract price, technical specifications, quantities and terms and conditions based on mutual agreement by an amendment to the original Purchase Order, issued by TPL and accepted by Supplier, pursuant to the terms stated therein.

10.2 Variations may be initiated by TPL, either by instruction or by a request in writing for the Supplier to submit a proposal.

10.3 The Supplier shall be entitled to state that it cannot comply with an TPL instruction or request for variation if;

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a) The supplier cannot get readily the required materials in stipulated time,
b) It will reduce the safety or suitability of the Package and/or the Facilities
c) It will have an adverse impact on the achievement of the Performance Guarantees
d) It will have an adverse impact on the environment in general and safety and health of communities in particular.

In such circumstances and upon receiving notice of the same from the Supplier, TPL shall cancel, confirm or vary the instruction.

10.4 The Supplier shall not be required to implement any variation until an instruction to execute such variation has been issued by TPL.

10.5 The Supplier may also make a request for a change if required, through a change proposal note indicating nature of the change(s), reasons for the change(s), its impact on the price, the delivery schedule and/or the guarantees together with supporting documents. TPL shall assess Supplier's request for a change and decide. Supplier shall not implement any change without obtaining TPL's prior approval in writing.

10.6 The Supplier shall bring to the notice of TPL along with documentary evidence, should any changes in the codes and standards applicable to the Purchase Order occur after the date of Purchase Order. The Supplier shall comply with the changes only after receipt of TPL's approval.

11. CONFORMANCE TO TECHNICAL SPECFICATIONS

11.1 All Supplies shall be supplied strictly in accordance with the approved technical specifications, applicable codes and standards and approved drawings stated in the Purchase Order including amendments to the Purchase Order if issued in accordance with clause no 10

11.2 All Supplies supplied or used shall be new and of first quality. The source/origin of Supply/Sub-Supply shall be indicated and approved by TPL prior to the issue of Purchase Order.

11.3 Unauthorized substitution/Supply of Supplies with wrong description and quality, excess Supplies, rejected Supplies shall be returned to the Supplier at the risk and expenses of the Supplier including transportation from and to their workshop

11.4 Supplier shall not be relieved of their obligations under the Purchase Order, including but not limited to its guarantee and obligations stated herein, by incorporating TPL's technical comments on their drawings and documents during execution of the Purchase Order.

11.5 Supplier shall be deemed to have scrutinized all data and information provided by TPL regarding accuracy and adequacy. TPL shall not be responsible for any error, inaccuracy or omission of any kind and shall not be deemed to have given any representation of accuracy or completeness of any data or information. Any data or information received by the Supplier from TPL shall not relieve the Supplier from its responsibility

12. SUBCONTRACTING

12.1 The Supplier shall not sub-contract all of the Supply to third parties for the completion of the Purchase Order.

12.2 The Supplier shall submit along with their quotation, the list of proposed Sub-vendors for the bought out items to be procured by the Supplier, which shall be mutually discussed and agreed before

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placement of Purchase Order. TPL and Supplier may by mutual agreement add or delete Sub-vendors from the approved list during execution of the Purchase Order.

12.3 The approval of the Sub-vendor list by TPL shall not discharge the Supplier from any or all of its contractual obligations.

12.4 Any subcontract and/or suborder shall necessarily include the same obligations as those to which the Supplier has agreed in the Purchase Order, provided they are applicable to said subcontract and/or suborder. The Supplier shall ensure that said subcontract and/or suborder are in alignment with the Purchase Order.

12.5 Neither Party shall be deemed by virtue of the Contract to have any contractual obligations to or relationship with any Sub-vendor of other Party.

12.6 The Supplier shall take all measures to ensure necessary coordination with Sub-vendor/Sub-contractor, and shall in any event remain fully responsible and accountable for the Purchase Order.

12.7 The Supplier shall not be entitled to change the place(s) of carrying out the manufacturing of Supply as specified in the Purchase Order, except with TPL's prior written agreement.

12.8 Upon TPL's request, the Supplier shall provide un-priced copy of the subcontract and/or sub-order to TPL.

13. DRAWINGS, DOCUMENTATION AND MANUALS

13.1 The technical specifications, drawings and documents, Quality Assurance & Inspection Plan (QAP), installation, operation and maintenance manuals including spare part lists shall be furnished by the Supplier in required number of copies and within time period as specified in documentation delivery schedule/Contract.

13.2 The maintenance, installation and operation manuals shall be complete and provide all necessary details to enable contractors at Site and Owner's personnel to carry out installation, maintenance, dismantling, repair and reassembly and operation at Site.

13.3 The Supplier shall promptly notify TPL of any revisions to the operating manuals which are necessary for the safe and efficient operation of the Package based on experience gained during commissioning and testing at Site. The Supplier shall update/revise the operation and maintenance manual and provide the same to TPL / Owner within two weeks after Provisional Acceptance.

13.4 **As Built Documents**

In case erection of the Package is also included in the Supplier scope, the Supplier shall prepare and maintain a complete set of "as-built" records during the execution of the Works. These records shall be marked as As Built Documents, kept at the Site and used exclusively for the purposes of this clause. Two copies of the records of the execution of the Works shall be provided (as red marked documents) to the Owner at Preliminary Handover. Final As Built Documents in hard copies and soft copies, as specified in the Purchase Order, shall be handed over to TPL by Supplier within 30 days after Provisional Acceptance and before Final Acceptance.

14. PROJECT SCHEDULING

The Supplier shall submit the detailed PERT/CPM chart and bar chart for complete duration of Supply for all

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the activities up to completion of the Supplies within 15 days of receipt of Letter of Intent/Purchase Order (whichever is earlier), for the review and approval of TPL. The PERT chart and bar chart shall be based on the L2 network for the entire project issued by TPL/Owner and shall be prepared with computer application using preferably the software suitable to TPL. The Supplier shall perform the Works in accordance with the Project Schedule. The approved PERT chart shall become the basis for fulfilment of all contractual delivery obligations.

15. EXPEDITING

TPL may assign at their expense, expeditors to monitor the progress and ensure timely delivery. The Owner/TPL/expeditors shall have free access to Supplier's and / or Sub-vendor's workshop and they shall be provided all the necessary assistance to enable them to perform their job. TPL, if required reserves the right to post an expeditor at Supplier's and Sub-vendor's workshop on long term basis during manufacturing of the Supplies.

16. PROGRESS AND EXCEPTION REPORT

16.1 Progress Report

The Supplier shall submit monthly progress report in a format approved by TPL. The cut-off date for reporting the progress shall be 25th of the month and the report shall be submitted by 5th of the following month. The progress report shall include following information as minimum.

a) Executive Summary.
b) Description of the Supplies and services performed during the preceding month.
c) Updated Project Schedule showing progress (as percentages completed of the Supplier's activities broken down into significant elements of the Works), the current Schedule of activities, the targets for the next month, the analysis of Critical Path and ways & means to overcome the constraints in the Critical Path and cumulative actual progress versus scheduled progress in the form of **"S Curve"**.
d) Updated billing schedule showing the payment due till the end of the previous month.
e) Areas of concerns and their impact on delivery schedule.
f) Photographs indicating the progress
g) Advance planning for shipment/Preparedness for shipment including dimensions and weight of individual packages

The Supplier shall submit the progress report every month in soft copy and in no. of hard copies as mentioned in the Purchase Order. TPL may request for a meeting to review the progress within 10 days from the date of submission of Progress report. Monthly progress review meetings shall be held, if required at TPL offices or at Supplier's workshop as advised by TPL.

16.2 Exception Report:

a) The Supplier shall submit "Exception Report" once in a fortnight listing unresolved issues and concerns which may delay the delivery schedule. The reports shall be marked to the attention of the designated persons in the Project Department and SCM department as per Purchase Order.

b) In case there are no issues to be reported during a particular fortnight, a 'NIL' report is to be submitted.

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17. INSPECTION AND TESTING

17.1 All the Supplies shall be inspected and tested by TPL as per approved QAP (Quality Assurance Plan) during execution of the Purchase Order and prior to dispatch. All relevant inspection documents like Material Test Certificates, internal inspection and test reports are to be made available to TPL's inspectors at the time of inspection.

17.2 All tests as per approved QAP, applicable codes and as required by statutory authorities shall be performed by the Supplier at the their cost

17.3 Before shipping or despatch, the Supplies shall have to be checked and stamped by Inspectors.

17.4 Inspectors are authorised to reject the use and despatch of any Supply which have failed during inspection and tests and do not comply with the specifications, codes and testing requirements.

17.5 The Supplier shall inform TPL/Inspectors by Fax/E-mail, at least ten working days in advance of the contact person details, telephone nos., exact place, date and time of rendering the Supplies for inspection.

17.6 Supplier shall bear all expenses for the additional visits (if any) for the repeat inspection and testing of the Supplies either due to non-readiness or failure during the inspection and testing.

17.7 The Supplier shall provide free access to inspectors during normal working hours to Supplier's or their Sub-vendor's workshop. The Supplier shall ensure that all useful means of performing, checking, marking, testing, inspection and final testing are provided to the inspectors.

17.8 TPL has no obligation to discover defects or otherwise and it shall be the sole responsibility of Supplier even if the inspections and tests are fully carried out. TPL's inspection shall not absolve the Supplier of its obligations to ensure that all Supplies strictly comply with the requirements as per the Purchase Order.

17.9 Delay in delivery, if any, due to delay in offering the Supplies for test and inspection for the reasons attributable to Supplier, shall be at the risk, expenses and responsibility of the Supplier.

17.10 TPL may decide not to inspect the material, in which case it will convey its decision of waiver of inspection in writing.

18. REJECTION OF SUPPLY

18.1 TPL reserves the right to reject all or part of the Supplies which is not in conformity with the Purchase Order and the Supplier is not able to rectify the non conformity with in reasonable time after a formal notice in writing is issued to the Supplier by TPL.

18.2 The rejection of the Supplies or part thereof shall be notified to the Supplier in writing. Supplier shall be provided option of replacing the same as soon as possible within agreed time limit at their own risks and expenses.

In case Supplier fails to replace the Supply within mutually agreed time limit, TPL shall get the Supply replaced at Supplier's risk and cost including exercising of TPL's rights under clause no. 36.

18.3 Notwithstanding the above, TPL may temporarily use all or part of the rejected Supply until the same is replaced by the Supplier.

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18.4 Notwithstanding any objection from the Supplier, title to the rejected Supply shall automatically be transferred back to the Supplier by simple written notice from TPL.

18.5 The Supplier shall then, at their expense and at their own risk and cost, take back the rejected Supply wherever made available by TPL

19. DELIVERY AND DESPATCH CLEARANCE

19.1 The Supplier shall commence the work pertaining to the Contract as of the Effective Date of Contract and shall continue the work so as to meet the contractual dates in the Contract. The Supplier shall provide the highest priority to the Contract at all times.

19.2 The Supplier shall immediately inform TPL in writing of any event which could lead to uncertainty in meeting the delivery schedule.

19.3 If the anticipated delay is attributable to Supplier and if TPL considers that contractual delivery date of the Purchase Order shall not be met by the Supplier, TPL has the right to request recovery measures from the Supplier such as overtime and/or engage such additional personnel and/or any other additional measures which could be necessary to ensure the delivery schedule. All the costs related to the recovery measures shall be borne by Supplier.

19.4 The Supplier shall not be released from its obligations to meet the delivery schedule except in case of Force Majeure defined in clause no.38 below or in case of delay proven to be directly attributable to TPL

19.5 Any failure by the Supplier to meet the intermediate and/or final delivery schedule shall give rise to the application of the penalties for late delivery in accordance with clause no. 36.

19.6 The delivery date may be extended for delays purely attributable to TPL or Force Majeure. However, Supplier shall make a formal request for extension with justifications for such an extension to TPL and get an amendment for the extension from TPL in writing.

19.7 Except in the case of an agreement between TPL and Supplier concerning an extension of the delivery schedule in the form of an amendment to the Purchase Order, penalties shall be applied by right.

19.8 The application of the penalties shall not release the Supplier from its obligations under the Purchase Order and shall be without prejudice to the provisions of clause no 39 below.

19.9 The Supplies shall be delivered to, or made available at, the place of delivery mentioned in the Purchase Order.

19.10 If the delivery is not made at the said location and/or within the allotted period of time, any costs incurred by TPL in connection with dead freight, demurrage, warehousing, insurance, carriage to another loading point and/or any other associated costs to ensure the delivery, shall be borne by the Supplier.

19.11 The Supplier shall not make the Supply available for transport or dispatch the Supply directly without TPL's prior written consent, failing which TPL reserves the right to return the Supply to the Supplier at Supplier's risk and expense.

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19.12 The Supplies shall be despatched on or before the delivery period specified in the Purchase Order. The Supplier shall make despatch only after receipt of ACRN (Acceptance cum Release Note) from TPL's inspector and MDCC (Material Despatch Clearance Certificate) from TPL's Project Manager.

19.13 In the event of the Supplier having been advised to hold despatches for any reason whatsoever, the Supplier shall hold the Supplies in their warehouse for at least 90 days without any compensation. In the event of hold period beyond 90 days, commercial implications, if any, shall be mutually discussed and agreed.

19.14 Immediately after shipment, Supplier shall inform despatch particulars to TPL as stipulated in the Purchase Order and despatch instructions.

19.15 Supplier, if reasonable and practicable, may effect partial despatches of the Supplies with prior approval from TPL. Delivery Challan, excise invoice and packing list must accompany each consignment.

20. PACKING & MARKING

20.1 The Supplier shall take all precautionary measures in order to protect the Supplies from bad weather, corrosion, during loading and unloading, transportation or storage. The Supplier shall ensure use of eco-friendly/bio-degradable packing materials.

20.2 The packing, marking and documentation within and outside the packages shall comply strictly as per the instructions given below and with such special requirements as shall be expressly provided for in the Purchase Order.

a) All fragile and exposed parts shall be packed with care and the packages shall bear the words 'Handle with care'.

b) All holes, openings and delicate surfaces shall be carefully protected against bad weather or wear and tear during transportation.

c) All threaded fittings shall be greased and provided with plastic caps.

d) All manufactured surfaces shall be painted as per applicable specifications before packing.

e) All small pieces shall be packed in separate cases.

f) The Supplier shall be held liable for all damages or breakages to the Supplies due to the defective or insufficient packing as well as for corrosion due to insufficient protection.

g) For every Purchase Order and every despatch, packages must be marked with serial progressive numbering. All packages that require special handling and transport should have their centre of gravity and points at which they may be slung or gripped clearly indicated and marked: Attention Special Load, "Handle with Care".

20.3 On three sides of the packages, the following marks shall be clearly visible in indelible paint at Supplier's care and expenses:

a) Case No.
b) Item description
c) Purchase Order No

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d) Dimension, Nett & Gross Weight of each package
e) Consignee's name & details
f) Consignor's name & details

21. DESPATCH DOCUMENTS

21.1 Despatch instructions given in the Purchase Order and/or MDCC shall be strictly followed. Failure to comply with instructions of the despatch instructions shall result in delay in payment against invoices.

21.2 The packing list must contain the following information:

a) Item description
b) Item Code/Tag Nos.
c) Purchase Order No
d) Dimension, Nett & Gross Weight of each package
e) Consignee's name and details
f) Consignor's name and details

22. PRICE BASIS

22.1 The prices shall be quoted as per INCOTERMS 2010 and its latest Editions/Amendments or as required in Special Conditions of Contract and shall be Firm & Fixed with no escalation whatsoever, throughout the execution period.

22.2 The basic price quoted for the Supply shall be inclusive of packing and forwarding charges.

22.3 Bidder shall provide the details of lubricants, chemicals and consumables required for start up/commissioning and first charge and shall include the same in the quoted price.

22.4 Bidder shall provide the list of special tools & tackles required for installation and maintenance and same should be included in the quoted price.

22.5 Bidder shall provide the list of recommended commissioning spares, operation (mandatory) spares and capital/insurance spares along with the unit prices.

22.6 The Bidder shall indicate per diem rates and estimated man-days required for supervision of erection, testing and commissioning of Supply at Site. The rates shall be inclusive of lodging, boarding and travelling expenses.

22.7 The bidder shall indicate the optional price for transportation on freight paid door delivery basis to Site, including applicable service tax/cess.

22.8 In case erection is also part of bidders scope, price for the same will be indicated separately including applicable service tax and works contract tax as applicable

22.9 Bidder is required to submit their price bid strictly as per the formats for "Price Schedule".

22.10 The Bidder shall indicate the applicable taxes and duties on the finished supplies separately in the Price Schedule. However, the quoted price shall include taxes and duties of any kind levied by any central, municipal or other government authority on raw materials & components including imports, if any.

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22.11 Bidder shall indicate the value of CIF component in Indian Rupees included in his basic price for the imported items (if any) and the Exchange rate considered for arriving at it taking in to consideration the foreign currency as applicable.

22.12 The total contract price of the Supplies including spare parts under the Purchase Order shall not be subject to escalation and shall remain firm till completion of the Supplies notwithstanding the extension granted.

22.13 The Bidder shall be deemed to have understood all technical, commercial, general and special purchase conditions for the Supply. The Bidder shall not, except as expressly provided in this Purchase Order, be entitled to any extension of the delivery Schedule or to any adjustment of the Contract Price on grounds of misinterpretation or misunderstanding of any such matter.

22.14 Prices and discounts, if any, must remain the same for any additional quantities of similar items required, if repeat order is placed within Six (6) months of the original Purchase Order.

23. TAXES AND DUTIES

23.1 Any statutory variation with respect to prevailing taxes and levies (other than direct taxes) or imposition of new taxes, charges, duties and levies in respect of finished Supplies during the Delivery Period shall be to TPL's account. However, increase/decrease in the rates of taxes and levies such as Excise Duty, Custom duty or Sales Tax or imposition of new taxes, charges, duties and levies in respect of finished Supplies taking place beyond the delivery period stipulated in the Purchase Order, shall be to the account of the Supplier unless the delay is due to Force Majeure or reasons solely attributable to TPL. Purchase Order shall be amended for any statutory variation (whether increase or decrease in terms of percentage applicability) with respect to Custom Duty, Excise Duty, Sales Tax when Supplies are completed within stipulated Delivery period.

23.2 The Supplier shall be responsible for the correctness of the CENVATABLE Invoice to enable Owner to avail the CENVAT credit. The ED (Excise Duty) gate pass shall be in favour of the Owner wherever applicable. The second copy of Excise Invoice cum gate pass (Transporter's Copy) shall be sent by Supplier along with the consignment to Site. For any consignment, if the said copy is not received by TPL/Owner at Site, the ED amount including applicable cess for that particular consignment shall not be reimbursed. In case of any failure on the part of the Supplier to produce the correct invoice as per Excise Rules, the respective excise amount shall not be reimbursed.

23.3 ED amount shall be reimbursed to Supplier only against submission of proper cenvatable documents for the items supplied by him, correctly mentioning all the details on such documents as per instructions issued by TPL so that TPL would get the complete re-imbursement of excise duty from the Owner. If any particular cenvatable document is not acceptable to Owner due to Supplier not following TPL's instructions and TPL does not receive the re-imbursement of ED, corresponding ED amount shall not be paid to the Supplier and if already paid, shall be recovered from the Supplier.

23.4 Custom Duty shall be reimbursed against documentary evidence and will be payable only on the finished product. The custom duty on raw material/components required for manufacture of the finished product imported by the Supplier is part of the contract price and shall not be reimbursed.

23.5 Supplier shall consign all Supplies as per the despatch instructions to be furnished by TPL, as per sale in transit procedure of Central Sales Tax Act. Ownership of such Supply shall rest with TPL/Owner upon their despatch (Ex - Subvendor's/ Supplier's workshop/ place of despatch).

23.6 Details of item Tariff Numbers, etc., with breakup value for despatches from different States attracting

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respective State Tax and CST shall be indicated separately in the price schedule with the rate of tax in percentage (%) and the amount of tax.

23.7 Any new taxes and duties of statutory nature that may come in force during the tenure of the Purchase Order or extension thereof for reasons not attributable to Supplier and applicable on the Supply dispatched by Supplier to Site shall be reimbursed by TPL at actual only against documentary evidence which is acceptable to the Owner for reimbursement of the corresponding amounts to TPL.

23.8 The following documents shall be submitted by Supplier for reimbursement of the Customs Duty variation by TPL.

a) Bill of lading/Airway Bill
b) Bill of Entry
c) Banker's certificate giving the FOREX rate applicable at the time of retiring the documents.

24. CONTRACT PERFORMANCE BANK GUARANTEE (CPBG)

24.1 Within 30 days after receipt of Purchase Order, the Supplier shall furnish a Contract Performance Bank Guarantee to TPL, valid till the end of the Warranty Period plus 03 months claim period for a value equivalent to 10% of the total contract price or the percentage specified in Purchase Order. For the purpose of submission of CPBG, the total contract price shall be exclusive of taxes, duties and freight charges, unless otherwise specified to the contrary elsewhere in the Purchase Order.

24.2 The Performance Bank Guarantee shall be payable to TPL as compensation for any loss resulting from the Supplier's failure to complete their obligations under the Purchase Order.\

24.3 All Bank Guarantees furnished by the Supplier shall be unconditional, irrevocable and from a Scheduled / Nationalized Bank in the format provided by TPL, issued by the bank's branch preferably located in Hyderabad.

24.4 All the Bank Guarantees shall have provision for minimum claim period of 3 (three) months from the date of expiry and shall be extended at the instance of TPL, if required.

24.5 Supplier shall not be exempted from submission of CPBG on any grounds whatsoever. Failure in submitting CPBG within specified time shall be the valid reason for cancellation of the Purchase Order.

25. PAYMENT TERMS & INVOICING

25.1 **The payment terms shall be as specified in the Special Conditions of Contract/Purchase Order/Contract.**

25.2 The Supplier shall send TPL the required number of separate invoices relating to each of the payment instalments, as specified in the Purchase Order.

25.3 The Supplier's request(s) for payment shall be made to TPL in writing, in the standard format approved by TPL. Supplier shall furnish name of his banker, branch and a/c no. in his invoices with RTGS details on their letterhead duly endorsed by their banker to facilitate TPL to incorporate same in the cheques/drafts issued to Supplier against due payments or enable TPL to release the due payment through RTGS/NEFT. RTGS/NEFT charges, if any shall be to Supplier's account. Delay in payments if any shall not entitle the Supplier to any interest or other charges or compensation.

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25.4 TPL may withhold part or whole of the payment claimed by the Supplier, which in opinion of TPL is necessary to protect it from loss on account of:

a) Defective Work not remedied or guarantee not met
b) Claims filed against Supplier by TPL or Supplier's Sub-vendor
c) Failure to meet the mutually agreed delivery schedule
d) Delay in submission of documents

26. TRANSFER OF TITLE

26.1 The Supplies shall be consigned to Owner/TPL and the title of the Supplies shall be passed to Owner/TPL as stated in Special Conditions of Contract or Purchase Order. However, such passing of the Title of Ownership to the Owner/TPL shall not in any way absolve, diminish or dilute the responsibility and obligation of the Supplier, as per Purchase Order.

26.2 The Supplies shall be guaranteed to be free of any lien, encumbrance or pledge.

26.3 In the event of a subcontract or suborder, the Supplier shall be required to include in its favour the same provision in respect of transfer of title.

27. INSURANCE

27.1 All Supplies supplied under the Purchase Order would be fully insured against loss or damage incidental to transportation, storage and delivery, erection and commissioning, as the case may be, by TPL. If any Supplies are lost or damaged beyond repair, Supplier shall replace them at the same unit prices and provisions of the Purchase Order. Supplier shall extend all assistance in providing required documentation for claiming the insurance by TPL.

27.2 Supplier will be required to furnish the necessary shipment advises to TPL prior to shipment of the Supplies so as to enable to TPL to arrange the necessary insurance cover.

27.3 Supplier and their Sub-contractors shall take and maintain Workers Compensation Insurance, Supplier plant and equipment insurance, Comprehensive Automobile liability insurance and Professional indemnity insurance described in more detail in General Conditions of Contract for services.

28. WARRANTY/DEFECT LIABILITY PERIOD

28.1 The warranty/defect liability period shall be as mentioned in the Special Conditions of Contract.

28.2 The Supplier guarantees that the Supply is in accordance with all requirements of the Purchase Order, new, of first quality, of tested design, safe and fit for purpose and use for which it is intended under the Purchase Order.

28.3 If any trouble or defect, originating with the design, material, workmanship or operating characteristic arises at any time during the warranty period, the Supplier shall be notified thereof. Supplier shall at their own expense and as promptly as possible make such alteration, repairs and replacements as may be necessary to permit the Supply to function in accordance with the specifications and to fulfil the guarantees. Any item so replaced, repaired and altered shall be delivered on Project Site basis, with no cost implication to TPL's account.

28.4 TPL shall notify the Supplier of any defect/discrepancies noticed during construction, start up and

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operation and the warrantee period. If the Supplier fails to commence and proceed diligently with the remedy of any such defect within 30 (thirty) days of receipt of notification thereof from TPL, TPL may proceed to do the Work at the Supplier's expense provided that it is done in a reasonable manner in accordance with Good Industry Practice, while notifying the Supplier of its intention to do so and permitting the Supplier to inspect such repaired or replaced Supply to ensure that the quality standards have been maintained. The reasonable cost so incurred by TPL shall be deducted from the payables or to be paid by the Supplier to TPL or from any of the bank guarantee provided by the Supplier.

28.5 Wherever it is established that a defect in Supply is due to faulty design, the Supplier shall replace all identical Supplies performing the same function under the same working conditions with new ones based on the correct design, even though, such Supplies may not have given rise to any failure.

28.6 **Latent Defects**

The Supplier shall remain liable for latent defects which may appear during the period of 3 years after expiry of warranty period in any part. The latent defects are those which can significantly affect the operation or output/performance of the Package, arising as a result of any act or omission on the part of the Supplier, which could have been foreseen or avoided by a professional and qualified Supplier and could not have been discovered by a reasonable examination prior to the expiry of the Warranty Period. The same shall be made good by the Supplier by repair or replacement.

As a matter of clarification, latent defects shall not include

(i) the items, which are due for repair or replacement as per the recommendations contained in the operating and maintenance manuals, or
(ii) the items damaged due to mal-operation not in accordance with the instructions contained in operation and maintenance manual submitted by the Supplier to TPL, or
(iii) the items subjected to normal wear and tear.

29. COMMISSIONING

29.1 In case of LSTK contract including erection and commissioning, the Supplier shall commence and proceed with commissioning in accordance with the requirements for commissioning set out in technical specifications and as may otherwise be proposed by the Supplier and agreed by TPL.

29.2 The Supplier shall not commence commissioning until Mechanical Completion of Package has been achieved.

29.3 Commissioning shall not be considered to have been completed until the Facility has started operating on an integrated basis and is producing required output with specified parameters as per technical specifications.

29.4 To the extent reasonably necessary to enable the Supplier to carry out the commissioning of the Package and to carry out the Reliability run/Sustained Load test; TPL shall on or before the dates indicated in the schedule provide adequate, constant and uninterrupted supplies of raw material and utilities as specified in the Contract/Purchase Order specifications.

30. PUNCH LIST AND BALANCE WORK

30.1 The Supplier shall, in conjunction with TPL Representative, prepare and update on a continuing basis

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during the period between commissioning and Performance Acceptance of the Package, punch lists of balance items requiring completion or rectification before Package is finally complete. In the preparation and updating of such Punch List(s) and the schedule for dilution of punch list items, the Parties agree to use all reasonable endeavours to ensure and/or permit the rectification and completion of balance items without undue delay.

30.2 The Supplier shall comply with the standards specified in the Contract and dilute the balance items of Work noted as requiring rectification or as incomplete in the punch list. In the event that the Supplier fails to commence and/or diligently proceed with the execution of any such balance items of Work in accordance with the schedule, TPL may arrange for completion of the balance Work through its resources and the reasonable cost thereof certified by TPL shall be deducted from the Contract Price or paid by the Supplier to TPL.

31. RELIABILITY RUN/SUSTAINED LOAD TEST

31.1 Once the Package have been commissioned and put into operation and is capable of safe operation as per the operation manual and Good Industry Practice, the Supplier shall be entitled to perform a Reliability Run/Sustained Load test in accordance with the test procedure approved by TPL. The Supplier shall give TPL at least 20 day's prior written notice of the date on which the Supplier intends to commence the Reliability Run/Sustained Load test. TPL and Owner shall designate their qualified and authorized representatives to witness the Reliability Run/ Sustained Load test.

31.2 If the reliability run/sustained load test is unduly delayed by the Supplier and as a consequence TPL reasonably believes that it is likely that Reliability run/Sustained Load test shall not be achieved by the scheduled date, TPL may by notice, require the Supplier to carry out the Reliability run/Sustained load test within 21 days of receiving the notice. If the Supplier fails to carry out the reliability run/sustained load test, TPL/Owner may proceed with the test at the risk and cost of the Supplier. The test shall then be deemed to have been carried out in the presence of the Supplier and the results of the test shall be acceptable by the Supplier.

31.3 If the Supplier is prevented from carrying out the reliability run/sustained load test for reasons attributable to TPL, the Supplier shall be entitled to an extension of time for such delay.

32. PROVISIONAL ACCEPTANCE AND TAKING-OVER

The Supplier shall be entitled to request TPL to issue the Provisional Acceptance Certificate when;

1. The reliability run/sustained load test as per clause no.31 has been successfully completed.
2. The Supplier has handed over to TPL the spare parts, special tools, chemicals, spare catalyst, surplus material (if any) as per the scope of Work.
3. The performance bank guarantee for defect liability period is in place for its required value to cover the defect liability period
4. All the punch list points have been attended to except for, at the reasonable discretion of TPL, those minor items that would be subject of the balance punch list.

33. PERFORMANCE GUARANTEE TESTS

33.1 The Supplier shall give TPL not less than 20 days notice of the date on which the Supplier has completed the Works to such a stage that it believes that Performance Guarantee Tests can be carried out as per the procedure approved by TPL. The Performance Guarantee Tests shall be carried out by Supplier/TPL/Owners personnel as stipulated in the Purchase Order acting under instructions, supervision and direction of the Supplier's commissioning/testing supervisors.

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33.2 The Supplier shall on an unlimited make good basis, repeat, rectify and remedy the Works including repeating any other test or any related part or unit such that the performance test can be repeated and passed. The Supplier's obligation to achieve the relevant percentage of the guaranteed level specified in the contract specifications shall continue until such time as the required level has been achieved.

33.3 If any repeated Performance Guarantee Test are not passed by the scheduled mutually agreed completion period, TPL shall be entitled to;

a) TPL may (at any time and at its sole discretion and without prejudice to its rights under the Contract), either by itself or through a third party carry out any remedial Work, rectification or repair necessary, so that Performance Tests can be repeated and passed. TPL shall recover all substantiated costs and expenses incurred in carrying out such Work by payment against a TPL's invoice within 30 days of its receipt by the Supplier or by setting off against payments otherwise due from TPL to the Supplier.

b) Require the Supplier to pay to TPL the maximum quantity of liquidated damages payable in respect of such failure in accordance with the clause 36.2.

34. FINAL ACCEPTANCE

34.1 The Supplier shall be entitled to request TPL to issue the Final Acceptance Certificate when;

a) The Performance Guarantee Tests have been successfully completed

b) Taking-Over of the Supplies have occurred

c) The Supplier have completed the performance of its obligations in respect of balance Punch List of items pursuant in the clause no. 32 and any defects which have arisen or being discovered since the time of Provisional Acceptance have been corrected.

d) The Supplier have provided all final drawings and documentation in accordance with the requirements of Technical Specifications and as built drawings/documentation as per clause no. 13.4.

e) The Supplier have submitted reconciliation of materials statement duly accepted by TPL,

f) Performance bank guarantee for defect liability period is valid

g) No claim certificate has been submitted by the Supplier.

34.2 TPL shall, within 14(fourteen) days following receipt of such notice, either

a) issue to the Supplier a Final Acceptance Certificate or

b) if reasonable cause exists for doing so, notify the Supplier that Final Acceptance has not been achieved, stating the reasons thereof.

35. PARTIAL TAKING OVER OF THE PACKAGE

At any time, by giving prior written notice to the Supplier, TPL shall have the right to use and operate any

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portion of the Supplies. In such event, care, custody and control, and risk of loss and damage, for such portion of the Supplies shall pass to TPL, effective as of the date of such notice or upon the date of actual use of such portion of the Supplies, whichever is earlier. Such take-over of a portion of the Supplies shall not be deemed to be Provisional Acceptance or Performance Acceptance of the Supplies.

36. LIQUIDATED DAMAGES FOR DELAYS IN SUPPLY AND SHORTFALL IN PERFORMANCE

36.1 LIQUIDATED DAMAGES FOR DELAYS IN SUPPLY

Unless otherwise specified in the Special Conditions of Contract, subject to the clause no.38 on Force Majeure, if the Supplier fails to deliver any or all the Supplies within the delivery schedule as per Purchase Order or after considering any further extensions granted by TPL, without prejudice to its other remedies under the Purchase Order, the liquidated damages, not by way of penalty, shall be applicable at the rate of 1% of the Contract Price per week of delay or part thereof subject to a maximum of 10% of Contract Price. The payments shall be released accordingly to the Supplier after deduction of applicable liquidated damages from the payables to the Supplier.

The Parties agree that this is a genuine pre-estimate of the loss/damage which will be suffered on account of delay on the part of the Supplier and the said amount shall be recovered/adjusted, without there being any proof of the actual loss or damages caused by such delay.

36.2 LIQUIDATED DAMAGES FOR SHORTFALL IN PERFORMANCE

If the Performance Guarantee parameters as specified in Purchase Order are not fulfilled as measured and recorded during performance guarantee test in the shop and/or Site, liquidated damages, not by way of penalty shall be applicable on the Contract Price at the rates mutually agreed by the Supplier and TPL. Further, TPL shall be entitled to the remedies as per the relevant terms and conditions of the Contract.

37. LIMITATION OF LIABILITY

37.1 The Supplier shall be liable to TPL for any damage occurring during the implementation of the Purchase Order until delivery, and, in as much as the Supplier is at the origin thereof, for damage resulting from the use of the Supplies after delivery and during the warranty period.

It is understood that the Supplier's liability for damage referred to in the present clause, shall extend to any action, omission, error or negligence of its agents, Sub-contractors or Sub-vendors, and, more extensively, to any person for whom it is responsible.

37.2 The Supplier shall be liable to third parties for the consequences of any damage incurred by such third parties if caused by the Supplier as a result of or during the performance of its activities or obligations under the Purchase Order.

The Supplier shall defend, indemnify and hold TPL harmless, without any limit, from and against any and all claims, suits and the like, including reasonable attorney fees, brought against TPL arising out of or in connection with Supplier's liability as stated above.

37.3 The Supplier's maximum aggregate liability shall not exceed the total contract price. The limitation of liability shall not apply in the case of

(i) liability for indemnities
(ii) liability for fraud

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(iii) liability for wilful misconduct
(iv) liability for gross negligence
(v) liability in respect of abandonment of the Contract
(vi) liability in respect to any infringement of patent rights
(vii) any fines or penalties imposed by a relevant authority

37.4 Notwithstanding any provision to the contrary elsewhere in this Purchase Order and whether or not resulting from or contributed to by any negligence and/or breach of duty (statutory or otherwise), in no event shall either TPL or the Supplier be liable to the each other whether in Purchase Order, tort or otherwise at law, for any consequential or indirect loss arising out of or in connection with the performance of this Purchase Order. The Supplier shall also not have any claim on any account whatsoever under the Purchase Order.

38. FORCE MAJEURE

38.1 "Force Majeure" means an exceptional event or circumstance including the events described below beyond the Party's control, which cannot be predicted or resisted and which prevents either or both the Parties to comply with all or part of its obligations under the Purchase Order.

(i) war, hostilities (whether war be declared or not), invasion or act of foreign enemies;

(ii) rebellion, act of terrorism, revolution, insurrection, military or usurped power or civil war;

(iii) riot, commotion, disorder, strike or lockout;

(iv) munitions of war, explosive materials, ionising radiation or contamination by radioactivity, except as may be attributable to use of such munitions, explosives, radiation or radioactivity by the Party claiming that Force Majeure has occurred; and

(v) natural catastrophes such as earthquakes, landslides, hurricanes, typhoons, tornadoes, fires, extraordinary floods, epidemics, quarantine or volcanic activity,

38.2 A simple shortage of labour, equipments or utilities or strikes within the organization of the Supplier including Sub-vendor/Sub-contractor and difficult weather conditions which are not unforeseeable or which are a usual occurrence at Supplier's/Sub-vendor's/Sub-contractor's workshop do not constitute Force Majeure.

38.3 If a Party is or shall be prevented from performing any of its obligations under this Purchase Order by reason of Force Majeure, then it shall give notice to the other Party of the event or circumstances constituting the Force Majeure and shall specify the obligations, the performance of which is or shall be prevented within 5 days of the occurrence of the Force Majeure condition.

38.4 Each Party shall at all times use all reasonable endeavours to minimize any delay in the performance of the Contract as a result of Force Majeure.

38.5 Notwithstanding any provisions of this clause, Force Majeure will not apply to obligations of either Party to make payments to the other Party under the contract.

38.6 If the Supplier is prevented from performing any of its obligations under this Purchase Order or suffers delay by reason of Force Majeure of which notice has been given as per clause 19.6, the Supplier shall be entitled to an extension of time for any such delay.

38.7 If Force Majeure Event continues beyond the period of 3 (three) months from the beginning of the

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Force Majeure Event or prevent the Supplier from performing its obligations under the Purchase Order for an aggregate period of more than 6 (six) months, the Parties shall mutually decide further course of action. If mutual settlement cannot be arrived at within 30 (thirty) days, the dispute shall be resolved in accordance with clause no.43.

38.8 Neither Party can claim any compensation from the other Party on account of Force Majeure Event.

39. SUPPLIER'S DEFAULT & RISK PURCHASE

39.1 Supplier shall be deemed to be at default in the following cases:

a) Failure in submitting CPBG in TPL's format within specified time
b) have voluntarily commenced winding-up, bankruptcy, insolvency, reorganization, stay, moratorium or similar debtor-relief proceedings, or shall have become insolvent or is unable to pay its debts as they become due, or admit in writing its inability to pay its debts or makes an assignment for the benefit of its creditors.
c) obvious failure likely to affect the quality and conformity of the Supply,
d) delay in the implementation of the Purchase Order, leading to an unavoidable and unreasonable postponement of the Schedule and/or performance tests and/or Supplier's obligations herein,
e) non implementation of the Purchase Order in whole or in part,
f) Serious and/or prolonged failure of the Supplier to meet its obligations herein.
g) Sub-lets and /or assigns any further part of the Purchase Order without the prior written approval of TPL

39.2 TPL shall notify any default to the Supplier in writing. The Supplier shall promptly inform TPL in writing of the effects of its default and of the measures it intends to take in order to correct such default as soon as possible.

39.3 If, following the receipt of a formal notice from TPL, the Supplier fails to correct the default; TPL may, as the case may be, upon expiry of the period of time stated in the notice and without prejudice to the possible termination of the Purchase Order in accordance with clause no.41 below.

a) either impose technical assistance to the Supplier without releasing the Supplier from its obligations or liability,
b) or substitute itself to the Supplier in the performance of all or part of the Supply, at the Supplier's expenses and risks, and without the Purchase Order ceasing to be valid. In this respect, TPL may use its own resources to complete the said Supply and/or use any other third party for this purpose by means of a subcontract,

39.4 All the costs borne by TPL as a result of the Supplier's default shall be charged to the Supplier. Without prejudice to any other method of recovery available to TPL, they shall be deducted from the amounts that may still be due to the Supplier by TPL and corresponding to that part of the Supply already performed in accordance with the Purchase Order.

40. SUSPENSION

40.1 TPL shall have the right at its sole discretion to suspend all or part of the Purchase Order at any time. The Supplier shall temporarily stop the execution of the affected Supply. Said suspension shall take effect on the date of receipt of the written notice sent by TPL to the Supplier. During the suspension, the obligations arising from the Purchase Order shall be suspended as regards the concerned part of the Supply, except those relating to confidentiality, insurance, patents and the protection of the Supply.

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40.2 The implementation of the Purchase Order shall be resumed upon issuance of a written notice to the Supplier within 60 days from the date of written notice for suspension issued by TPL. In case, the Supplier refuses to resume the implementation of the Purchase Order without a legitimate reason, clause no.39 shall automatically apply.

40.3 In case of suspension of the Purchase Order for more than 60 days, in the absence either of Force Majeure or of Supplier's default, TPL shall

a) reimburse to the Supplier, upon acceptance by TPL of documentary evidence, the costs directly incurred as a result of the suspension, i.e. the costs of the demobilization and remobilization due to said suspension as well as possible suspension fees the Supplier may have to pay to its own Sub-vendors/Sub-contractors.

b) provide an extension to the delivery period as mutually agreed by TPL and Supplier on case to case basis.

40.4 Should the suspension of the Purchase Order, in the absence of Supplier's default, last more than 120 days, TPL and Supplier shall agree upon the basis of continuation of the Purchase Order or both the parties are not able to come to an agreement, the Purchase Order shall automatically be terminated as per clause no.41.

40.5 In the event of Suspension of Purchase Order due to Supplier's Default, Supplier shall be fully responsible for its default pursuant to clause no. 39

41. TERMINATION

41.1 In the event of a default as described in clause no.39 here above, TPL shall have the right to terminate all or part of the Purchase Order.

41.2 The termination of the Purchase Order shall be notified to the Supplier by registered letter with acknowledgment of receipt. This termination shall not give rise to any indemnity in the Supplier's favour.

41.3 The Supplier shall indemnify TPL for all damages incurred by Supplier as a result of such termination including but not limited to the extra expenses resulting from the choice of another Supplier and the associated delays.

41.4 This termination shall be without prejudice to the application of penalties for late delivery and the reimbursement of the advance and/or down payments received by the Supplier for the non completed portion of the Purchase Order.

41.5 In the absence of a Supplier's default, TPL for their convenience may terminate all or part of the Purchase Order at any time.

In this case, TPL shall pay the Supplier, after submission of substantiating documents accepted by TPL:

a) the amounts due in consideration of the Work already performed and accepted by TPL on the date of termination, after deduction of advance and/or down payments already made,

b) the cost of any termination fee the Supplier may owe its own Sub-vendors

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41.6 Within fifteen (15) DAYS after the date of receipt by the Supplier of the notice of termination sent by TPL the Supplier shall

a) cease performance of the Purchase Order or such part thereof as may be specified in the notice with immediate effect.

b) allow TPL or its nominee full right of access to the Supplier's premises to remove all or any of TPL's property and in order to do so use such of the Supplier's equipment as may be necessary. TPL shall have the right to complete balance Works with the help of third parties at its own discretion.

c) assign to TPL or its nominee to the extent desired by TPL all or the relevant part of the rights, titles, liabilities and subcontracts relating to the Purchase Order which the Supplier may have acquired or entered into.

d) promptly deliver to TPL, in hard copy and native format, all design data, design standards, drawings, specifications, requisitions, calculations, other documents and computer software prepared under the Purchase Order up to the date of termination.

e) Supplier shall return all documents, drawings, information that is provided to the Supplier (without Supplier retaining any copies of the same) to TPL.

f) Supplier shall return to TPL free issue items with material reconciliations checked and agreed by TPL.

42. RIGHT TO ASSURANCES AND REPUDIATION

Whenever TPL in good faith has reasons to question Supplier's intent to perform, he shall seek in writing a written assurance from the Supplier of its intent to perform. In the event that the demand is made and no assurance is given within a reasonable period of time, not exceeding four weeks, TPL may treat the failure as an anticipatory repudiation of the order.

43. ARBITRATION

43.1 TPL and the Supplier shall make every effort to settle all disputes arising from or/in connection with the implementation of the Purchase Order, TPL and Supplier shall try to reach an amicable settlement.

43.2 If after 30 days from the commencement of such informal negotiations, TPL and the Supplier have been unable to resolve amicably a dispute, the same shall be referred for resolution to a single arbitrator in case the Parties can agree upon one, otherwise to two arbitrators, one to be appointed by each Party and an umpire to be appointed by the two arbitrators. The arbitration shall be carried out in accordance with and subject to the provisions of the Indian Arbitration and Reconciliation Act, 1996, or any statutory modification or re-enactment thereof for the time being in force. The decision of the arbitrator / umpire shall be final and binding upon both Parties.

43.3 The venue for Arbitration shall be **Hyderabad, India** or any other place that TPL at its sole discretion, may determine and the language of the arbitration shall be in English.

43.4 However the performance of the Supplier's contractual obligations shall not be suspended pending settlement of disputes.

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44. INTELLECTUAL PROPERTY RIGHTS (PATENTS)

44.1 The drawings, documents, data and information of any kind furnished by TPL to the Supplier shall remain TPL's property. They may not be disclosed or used for any purpose other than the implementation of the Purchase Order without TPL's prior written consent.

44.2 TPL shall be free to use the drawings and documents including the related software documents prepared, in connection with the Purchase Order, on the Supplier's letterhead or under its logo for the purpose of the contract entered into with the Owner.

44.3 The Supplier declares that it is the due owner, licensee, holder or authorized user of any patents, licenses, processes, trademarks, designs or models covering the Supply and/or means to be used for the implementation of the Purchase Order.

44.4 TPL has no obligation to discover any breach of patent or otherwise and this shall be sole responsibility of Supplier.

44.5 Should any suits for infringement of patents, processes, trademarks, designs or models be brought by anyone against TPL in connection with the Purchase Order, the Supplier agrees to substitute for TPL in any proceedings and to indemnify and hold TPL harmless from and against, without limitation, any liability incurred, it being specified that TPL shall nevertheless approve the means of the defence and the choice of the attorney or attorneys.

Should the Supplier's substitution in proceedings not be possible or desired by TPL, the Supplier agrees to provide all legal assistance to TPL for its defence, and to bear all costs resulting there from including the amounts resulting from court orders issued against TPL, as well as all the expenses incurred by TPL in connection with the proceedings.

44.6 In case of infringement of the industrial property rights mentioned above, the Supplier notwithstanding any appeal, shall, at its own expense, as soon as the judgment in the first instance has been delivered:

a) either obtain the right for TPL to continue using the Supplies,

b) or, in agreement with TPL, either have the Supplies replaced by non-infringing Supplies, or have the same modified in such a manner so that the cause of the infringement disappears.

45. CONFIDENTIALITY

45.1 Subject to the provisions of clause no. 45.2, each Party shall keep confidential and shall not, without the prior written consent of the other Party, disclose to any person any Confidential Information irrespective of whether such information has been furnished prior to the finalization of the Contract or at any time thereafter (including following termination of the Contract).

45.2 Either Party shall be entitled to disclose Confidential Information without the prior written consent of the other Party if such disclosure is made in good faith:

a) to any of its affiliates, directors, employees and officers;

b) to any outside consultants or advisers engaged by or on behalf of such Party and acting in that capacity in connection with the Project (including insurance, accounting, tax, technical and legal advisers);

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c) to any bank or financial institution from which such Party is seeking or obtaining or has obtained finance in connection with the Contract or the Project or the advisers to such bank or financial institution;

d) to any insurer under a policy of insurance referred to in the Contract or in a proposal for such insurance;

e) to any Sub-vendor/Sub-contractor to the extent it is for the furtherance of the performance of that Party's obligations under the Contract;

f) to the Owner's/TPL's other contractors engaged in carrying out Works or providing services in connection with the Project or to the Licensors;

g) to the extent required by applicable Laws or relevant Authorities; or

h) to the extent required by the rules of a relevant and recognised stock exchange,

provided that such disclosure is necessary to enable such Party to perform or comply with, or to protect or enforce its rights under the Contract or to carry on its business or implement the Project.

45.3 The obligations of a Party under this clause no 45 shall not apply to information and documents which:

a) now or hereafter have entered the public domain through no fault of that Party; or

b) otherwise lawfully become available to that Party from a third party under no obligation of confidentiality.

45.4 No public announcement concerning the existence, subject matter or any term of the Contract will be made by or on behalf of the Supplier without the prior written approval of TPL (such approval not to be unreasonably withheld).

45.5 On termination of the Contract, any Party which has received information protected by this clause no. 45 prior to such termination shall return any records of such information (including all copies) in its possession and control to the Party to which such information relates or dispose of such records as such other Party may reasonably require

46. SET OFF

TPL shall be entitled to recover any amounts due to TPL on account of any damage/s or otherwise, whether in respect of Supplies/Services under this Contract/Order or under any of its other Contracts/Orders, by deducting such sums from the amount due by TPL to the Supplier/Contractor in respect of Supplies/Services made under this Contract/Order or any of their prior or subsequent Contracts/Orders.

47. ASSIGNMENT

The Supplier shall not assign all or part of the Purchase Order without TPL's prior consent. In case of assignment, the Supplier shall remain jointly and severally responsible to TPL for the performance of the Purchase Order except with TPL's prior written agreement to the contrary.

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48. CHANGE OF SUPPLIER COMPANY'S NAME

In case of change of Supplier company's name/partners or any legal entity, the Supplier shall communicate the same to TPL along with all the concerned documents within 14 days of any such event.

49. COMPLIANCE WITH APPLICABLE LAWS

Supplier warrants that all Supplies purchased under the Purchase Order shall conform to all applicable Cities, State and Central laws, ordinances and all relevant statutory regulations. Further, Supplier shall defend and save TPL, TPL affiliates and their respective directors, officers, employees and agents harmless from penalties, loss, cost or damage including legal expenses by reason of any actual or alleged violation thereof.

50. GOVERNING LAW, CONTRACT LANGUAGE, EFFECT AND JURISDICTION OF ORDER

50.1 The Purchase Order issued by TPL to the Supplier shall be construed in accordance with and governed by the laws of India and in the event of any litigation the jurisdiction of this Purchase Order shall be that of the courts at Hyderabad, India.

50.2 Unless otherwise stipulated, English is the language of the Purchase Order, and shall be used in all documents including correspondences and technical specification, drawings and manuals provided or exchanged in this regard.

51. WAIVER

TPL shall be at liberty to waive breach of any terms or conditions or guarantee. Waiver by TPL of a breach by Supplier of any provision of the order shall not be deemed a waiver of future compliance therewith and such provision shall remain in full force and effect.

52. NON-WAIVER

Failure of TPL to insist upon any of the terms or conditions incorporated in the Purchase Order, or failure, or delay to exercise any rights or remedies herein, or by law or failure to properly notify Supplier in the event of breach, or the acceptance of, or payment, of any goods hereunder or approval of design shall not release Supplier and shall not be deemed a waiver of any right of TPL to insist upon the strict performance thereof or any of his or their rights or remedies as to any such goods regardless of when goods are dispatched, received or accepted.

53. NOTICES

53.1 Communications in writing

All communication by either party regarding approvals, certificates, consents, determinations, notices and requests shall be in writing, sent by mail, fax or courier, or transmitted using any of the agreed systems of electronic transmission.

53.2 Addresses

The address and fax number (and the department or officer, if any, for whose attention the communication is to be made) of each Party for any communication or document to be made or delivered under or in connection with the Contract will be defined in Special Conditions of Contract.

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53.3 Serving of Notices

Any notice sent by either Party in connection with the Contract shall only be effective, if it is delivered;

a) By way of fax, at the time of issue of the relevant electronic confirmation of the receipt;
Or
b) By way of letter and sent by a registered courier, at the time of delivery.

54. BUSINESS ETHICS

TPL requires that Supplier's observe highest standard of ethics during the procurement and execution of Purchase Order. In pursuance of this policy, TPL stipulates as under:

(a) Definition for the purpose of this provision the terms set forth as follows:

(i) "corrupt practice" means the offering, giving, receiving, or soliciting of anything of value to influence the action of a TPL official in the procurement process or in Purchase Order execution ; and

(ii) "fraudulent practice" means a misrepresentation of facts in order to influence a procurement process or the execution of a Purchase Order to the detriment of TPL, and includes collusive practice among Suppliers (prior to or after bid submission) designed to establish bid prices at artificial non-competitive levels and to deprive TPL of the benefits of free and open competition;

(b) TPL shall be within its right to reject a proposal for award, if it determines that the Supplier recommended for award/ Supplier has engaged in corrupt or fraudulent practices;

(c) If the Supplier, offers or give or agree to give to any person in TPL's service or to any other person on his behalf any payment, compensation, consideration, gift or any kind of inducement or reward for doing or forbearing to or for having done or forborne to do any act in relation to the obtaining or execution of this Purchase Order for TPL, TPL shall be within its right to terminate by written notice the Purchase Order at the risk and cost of Supplier.

(d) Please visit our website www.tataprojects.com to view the complete text of TATA Code of Conduct.

55. SOCIAL ACCOUNTABILITY

TPL is in the process of getting certified under SA 8000. Accordingly, TPL expects its Suppliers to comply with requirements of SA 8000 standard particularly at Sl. no 1 to 8 of clause IV. Please visit the website www.sa-intl.org for more details.

56. AFFIRMATIVE ACTION

TPL is committed to inclusive growth through various initiatives under Affirmative Action. TPL encourages entrepreneurs from socially disadvantaged communities for inclusion in supply chain on the basis of equal merit. TPL encourages its Vendors/Suppliers/Contractors to also contribute to the Affirmative Action.

57. VISION, MISSION AND VALUES, CORE BUSINESS AREAS

Suppliers are requested to visit www.tataprojects.com for more details regarding the Vision, Mission, Values and Core Business areas of TPL.

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